PAPER 6: FINANCIAL MANAGEMENT AND STRATEGIC MANAGEMENT (100 MARKS)

SECTION A : FINANCIAL MANAGEMENT (50 MARKS)

Objective

a To develop an understanding of various aspects of Financial Management and acquire the ability to apply such knowledge in decision-making.
b To understand various finance functions like financing decision, investment decision, dividend decision.
c To develop an understanding of working capital management and its component.

Contents

I Financial Management and Financial Analysis:

i Introduction to Financial Management Function:

a Objective and scope of financial management.
b Profit Maximisation, Wealth Maximisation and Value Creation.
c Role of Financial Manager and Financial Controller.
d Financial management environment.
e Functions of finance executives in an organization.
f Financial distress and insolvency.

ii Financial Analysis through Ratios:

a Users of the financial analysis.
b Sources of financial data for analysis.
c Calculation and Interpretation of ratios.
d Limitations of ratio analysis.

2 Financing Decisions and Cost of Capital:

i Sources of Finance:

a Different Sources of Finance, Characteristics of different types of long-term debt and equity finance, Method of raising long term finance.
b Different Sources of short-term Finance.
c Contemporary sources of funding- P2P lending, Equity funding, Crowd funding, Start-up funding, etc.
d Internal fund as a source of finance.
e International sources of finance.
f Other sources of finance- Lease Financing, Sale and lease back, Convertible debt, Venture capital, Grants etc.

ii Cost of Capital:

a Significance of cost of capital.
b Factors of cost of capital.
c Measurement of costs of individual components of capital.
d Weighted average cost of capital (WACC).
e Marginal cost of capital.

iii Capital Structure Decisions:

a Significance of capital structure.
b Determinants of capital structure.
c Capital structure planning and designing.
d Designing of optimum capital structure.
e Theories of Capital Structure and value of the firm-relevancy and Irrelevancy of capital structure.
f EBIT- EPS Analysis, Breakeven- EBIT Analysis.
g Under/ Over Capitalisation.

iv Leverages:

a Types of Leverages- Operating, Financial and Combined.
b Analysis of leverages.

3 Capital Investment and Dividend Decisions:

i Capital Investment Decisions:

a Objective of capital investment decisions.
b Methods of Investment appraisal:
- Payback period, Discounted payback period.
- Accounting Rate of Return (ARR).
- Net Present Value (NPV) - The meaning of NPV, Strengths and limitations of NPV method, The working capital adjustment in NPV analysis, Capital rationing, Equivalent Annual Costs.
- Internal Rate of Return (IRR)- Limitations of the IRR method, Multiple IRRs.
- Modified Internal Rate of Return (MIRR)- Definition and explanation of MIRR, Process for calculating MIRR, Strengths of the MIRR approach.
- Profitability Index.

ii Dividend Decisions:

a Basics of Dividends.
b Cash dividend, stock dividend/ bonus share, stock-splits, share buy back.
c Determinants of dividend.
d Relevancy and Irrelevancy of Dividend Policies- Traditional Approach, Walter's model, Gordon's model, Modigliani and Miller (MM) Hypothesis.

4 Management of Working Capital:

a The management of working capital- Liquidity and Profitability.
b The Working capital financing decisions-Primary and Secondary Sources of Liquidity.
c The Working Capital Cycle (Operating Cycle), Effectiveness of Working Capital based on its operating and cash conversion cycles.
d Assessment of working capital requirement.
e Management of Accounts Receivables (Debtors).
f Factoring and Forfaiting.
g Credit Management:
- Credit granting.
- Monitoring accounts receivables.
- Debt collection.

h Management of Accounts Payables (Creditors).
i Management of Cash, Treasury management.
j Banking norms of working capital finance.

